By applying this policy known as Doctrine of Lapse, the first state to fall was Satara. Shahji of Satara died (1848) and the son he adopted on the eve of his death was not recognized by Dalhousie. Gangadhar Rao, Raja of Jhansi died in November 1853 and Dalhousie annexed that state immediately. (His widow, Rani Lakshmi Bai, played a prominent role in the Great Rebellion of 1857.) Raghuji Bhonsle III died in 1853 without a child. Nagpur was immediately annexed. In 1851, the last Peshwa died. He had been a pensioner of the Company for thirty-three years, but Dalhousie refused to continue paying the pension to his son, the Nana Sahib. The Doctrine of Lapse, thus, served as an instrument for the pursuit of its annexation policy. When the Crown took over India in 1858 Doctrine of Lapse was withdrawn.

17.4 Native States and British Paramountcy

In the aftermath of the Battle of Plassey (Palashi) (1757), when the Company embarked on its career of expansion, it established the system of dual government. Under this system, everything was sought to be done by the Company's servants in the name of some powerless and dependent prince. In theory the Company was only the diwan (the collector of revenue), but in practice it exercised full authority. This authority was asserted by the refusal to continue the payment of annual tribute to the Mughal emperor Shah Alam II promised by Clive. Cornwallis even stopped affirming obedience in letters to the emperor. Wellesley carried matters further with his objective of establishing British predominance through his Subsidiary Alliance System. Wellesley made subsidiary alliances with the three of the major States of India: Hyderabad, Poona and Mysore.

Hastings (Moira) who became Governor General in 1813 ordered the removal of the phrase denoting the imperial supremacy from his seal. He refused to meet Emperor Akbar II, unless he waived all authority over the Company's possessions. But Hastings laid down a policy that the Company was in no way responsible for the administration of the Indian States. Thus, under the Subsidiary System, each Prince was secure on his throne, notwithstanding the discontent of his people or by his jealous neighbours. In regions such as Kathiawar and Central India, divided among a great number of petty chiefs, the Company's close supervision became indispensable for prompt action.

The Company army helped the Indian rulers under the Subsidiary system to quell any rebellion or disturbance within the State. In Hyderabad, the authority of the Nizam did not prevail in certain areas, as the Arab troops lived without any control. The assistance of British troops helped reduce the Arabs to obedience. In Mysore state the financial management of the raja provoked a rebellion in 1830 and the treaty of Wellesley only provided authority for the Company to interfere. William Bentinck, as Governor General, relieved the raja of all his powers and appointed Mark Cubbon to administer Mysore. In Gwalior, during a minority, the parties at the durbar quarrelled bitterly among themselves. The army of the State passed out of control. Ellenborough moved with a strong army, but the State army resisted. At the battle of Maharajpur, the State army was defeated and new terms of conditions including the limitation of the military forces maintained by it were imposed in 1843.

Dalhousie's new method of annexing territories, Doctrine of Lapse, as we have seen, increased the territories under British domain. Every accession of territory also increased the influence of the Company over the governments of the Indian princes.

17.5 Reforms in Civil and Judicial Administration

Cornwallis organized company administration securing the services of William Jones, a judge and an Orientalist. He set up a machinery for the detection and punishment of crime, thereby ending the dual system of government established by Clive. The collection

11th_History_English Medium_History_Unit 17.indd 268 12/3/2022 7:23:15 PM